

Article | 12 August 2026

UNITED STATES

Cooling US inflation points to the Fed holding steady

Another benign inflation report following hot on the heels of a poor July jobs report has seen markets increasingly doubt the resolve of Fed hawks to deliver rate hikes this year. We see four key reasons for the disinflation trends to continue and expect the Fed to hold rates steady for a prolonged period



Low July inflation at the core and headline levels indicate the Federal Reserve may keep rates on hold for a prolonged period

2.5% Annual rate of core inflation

Inflation continues to cool

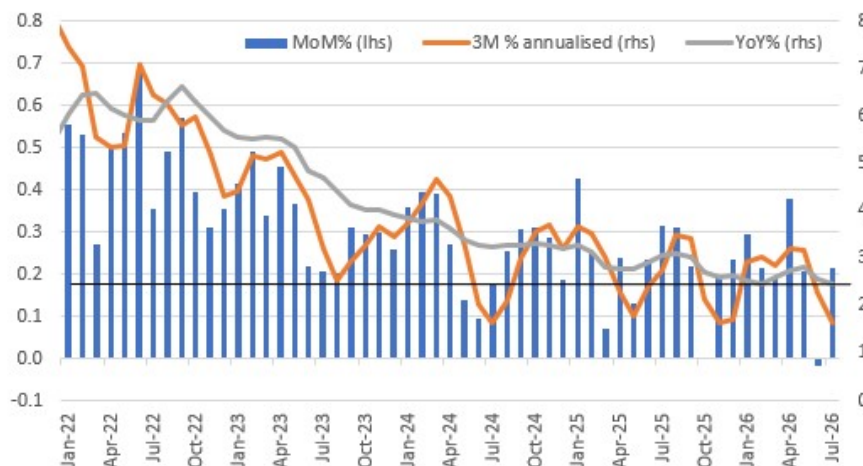
US consumer price inflation has come in as expected in July. After a remarkably benign June report, headline prices rose 0.1% month-on-month in July while core CPI (ex-food and energy) rose 0.2% MoM. This brings the year-on-year rate of inflation down to 3.4% from 3.5% for

headline while core inflation is now running at 2.5% versus 2.6% previously. In terms of 3M annualised core inflation, we are now down to just 1.6%, which, after the poor jobs report last Friday, should leave the Fed hawks less confident on the need for a rate hike, but we do have another job and inflation print plus the annual Jackson Hole symposium before the next FOMC meeting on 16 September. This will limit the scope for significant market reaction today.

In terms of the details, gasoline prices fell 2.9% MoM while shelter was subdued at just 0.1% MoM with food (+0.1%), apparel (+0.1%) and new vehicles (+0.1%) and other goods & services (+0.1%) all very well-behaved. Used cars and trucks (+0.4%) and medical care (+0.4%) and education (+0.6%) were the main areas of elevated price pressures, but all experienced falls in June and the underlying story looks OK. The main issue remains airline fares (+2.2% MoM/ 25.5% YoY), which mainly reflects higher jet fuel. That can quickly correct lower on a deal in the Middle East. Overall, nothing here to change our view that the Fed is set for a prolonged pause well into 2027.

The chart below shows core CPI under different metrics. The black line represents 0.17% MoM, which is what we need the blue bars to average to bring the YoY rate to 2% over time.

Core inflation metrics



Source: Macrobond, ING

Four reasons for inflation to slow into 2027

Gasoline can continue to contribute to lower headline inflation – remember that the current oil price of around \$83/bbbl is historically consistent with US retail gasoline prices of \$3.80/gallon – below the current AAA measured average US price of \$4 given refining margins have widened a touch. As such, if we get a deal to reopen the Strait of Hormuz and flow resumes, we should see margins compress, which will deliver lower gasoline costs.

Secondly, the heaviest weighted component in CPI is shelter, at 35% of the basket of goods

and services, which is currently running at 3.2% year-on-year. Affordability is stretched by high prices and elevated mortgage rates with the current number of housing transactions on a par with the 2008-12 post-GFC environment. Consequently, home prices are barely rising 1% and rents are now falling outright in a growing number of states, according to data from Zillow and Realtor.com. We expect this dominant component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Private wage growth, according to the Employment Cost index, is rising just 3.1% YoY, the same as average hourly earnings. That is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. Federal budget data show the International Emergency Economic Powers Act (IEEPA) 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May, the new tariff system revenues were fully offset by the initial repayments of the IEEPA tariffs. June data showed the Treasury actually paid out \$25.5bn more in IEEPA refunds than it received under all other tariffs, and we expect the July numbers, to be released later today, to show an even bigger net refund. This boost to corporate cash flow should mitigate cost pressures elsewhere and therefore maintain the disinflationary trend.

'Chipflation' fears are overblown

The rising cost of semi-conductors, attributed to the surge in demand from data centre construction, has led to fears of 'chipflation' with anticipated price hikes for laptops, mobile phones and games consoles featuring heavily in the media. But we should remember that computer and communication have a very small weight within the basket – just 0.7pp versus 35% for housing. They also use hedonic pricing, so quality improvements come into the calculation. Hence, why within CPI smart phones are currently falling 10.9%YoY, yet the base level for most phones has not changed – camera improvements, better quality battery life, more powerful processors mean that you get more for your money. For the purpose of the inflation calculation, it results in a price fall.

Prolonged pause from the Fed

We recognise that the Fed has missed its inflation target for the past five years. Nonetheless, progress does appear to be being made and consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike.

Meanwhile, market inflation expectations are benign, with 10Y break-even inflation rates in line with their 25-year average. The market is still pricing a rate hike from the Fed, but we see the more likely course of action is for the Fed to hold rates steady for a prolonged period, well into 2027.

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Article | 7 August 2026

UNITED STATES

Surprise US job weakness casts serious doubt on Fed rate hikes

The US lost jobs in July and while the unemployment rate fell, it was for bad reasons. Rate hike expectations have declined, but there is a lot happening before the 16 September FOMC meeting



Construction was one of the few bright spots in an otherwise weak US jobs report for July

-23,000 US jobs lost in July

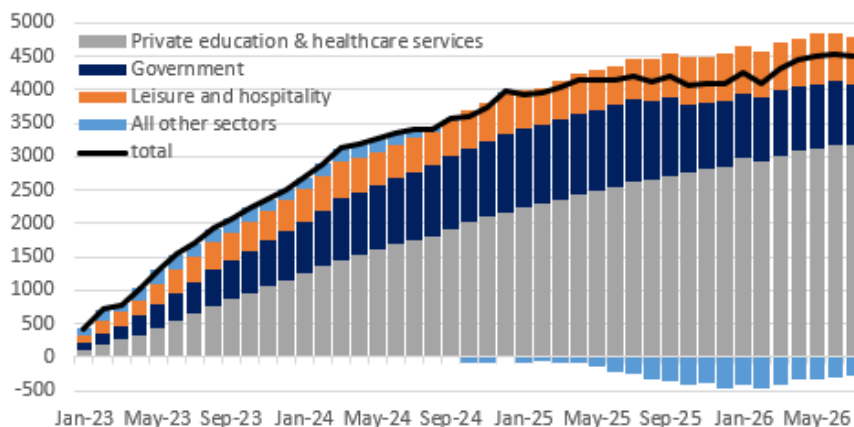
Employment fall highlights corporate caution

The US jobs report for July was surprisingly weak, with payrolls falling 23k while there were 103K of downward revisions to the past two months' data, leaving the 3M average at 20,000. The unemployment rate fell to 4.1% from 4.2%, but not for good reasons. It was primarily because of a further drop in the participation rate – unemployed people leaving the workforce entirely. Average hourly earnings growth slowed to just 3.2% year-on-year from 3.5%.

In terms of payrolls details, the leisure and hospitality sector lost 40k jobs, which may reflect the conclusion of the FIFA World Cup, but we had also seen a 43k drop in June when it was in full swing. The financial sector lost 14k roles while retail lost 19k. The offsetting strength was in

construction (+22k) and, as usual, private education and healthcare services (+25k). The chart below shows the cumulative job creation since December 2022 and indicates that, after a decent March and April, we have reverted to the very weak trend experienced from January 2025-February 2026.

Cumulative increase in US employment since December 2022 (000s)

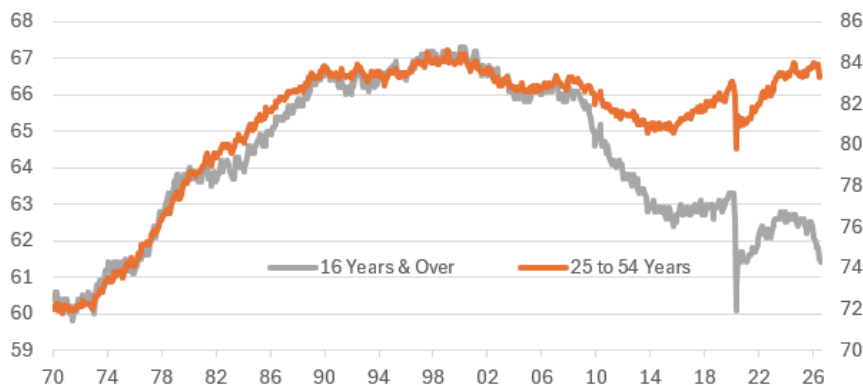


Source: Macrobond, ING

Disengagement drives a fall in participation

Regarding the drop in the unemployment rate and why this isn't the great news it seems, we have to look at the participation rate. It fell to 61.4%, which, outside the pandemic, we must go all the way back to the mid to late 1970s to find a lower reading. A quarter of a million people left the labour force last month. Within that, the number of people classifying themselves as employed fell 87k while the number of people classifying themselves as unemployed fell 178k. Therefore, the fall in the unemployment rate was caused by disengagement rather than for any positive reason. You can see that the participation rate has fallen by more than a full percentage point over the past year. If it had held steady, we would have a US unemployment rate in excess of 5%, and we would not be talking about a possible September rate hike from the Federal Reserve.

Labour force participation rates



Source: Macrobond, ING

What it means for the Fed outlook

Reaction has been significant, with 2Y yields down 8bp and the dollar softening, while Fed funds futures contracts are now only pricing 10bp of a potential 25bp hike on 16 September. Today's outcome supports our call for a prolonged pause from the Federal Reserve, but remember that ahead of the September FOMC meeting we have a further jobs report, two inflation prints and the Federal Reserve's Jackson Hole Symposium.

In terms of jobs, we would tentatively suggest a rebound is possible for August, but the Fed's decision is more likely to come down to what happens on inflation. We expect next week's July CPI expected to show headline prices rising 0.1% month-on-month and core prices rising 0.2%. Cooling housing-related inflation should pull the shelter CPI component lower, while weak wage growth and tariff refunds provide a cash flow boost to US companies, which should all help offset higher costs elsewhere. Assuming we get a deal to reopen the Strait of Hormuz, that can feed through into lower gasoline prices and keep the disinflation trend in place through to year-end and beyond.

While nine members of the FOMC suggested in June they think the Fed will have to hike rates, nine said they didn't (plus, presumably, Kevin Warsh). Now of the nine that think they will hike, we strongly suspect only three are voters this year, and they are already voting for a 25bp hike. That would, in theory, mean to deliver a rate hike, we would need to see inflation come in hotter than the nine who didn't think they would need to hike were anticipating. Given we are expecting encouraging news on disinflation, we are consequently expecting the Fed to remain on hold well into 2027.

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Article | 5 August 2026

Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters



Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US\$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

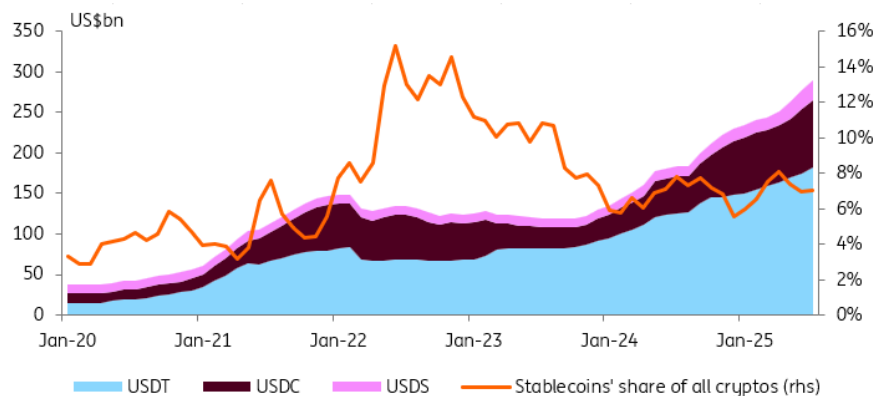
What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US\$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by \$250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies

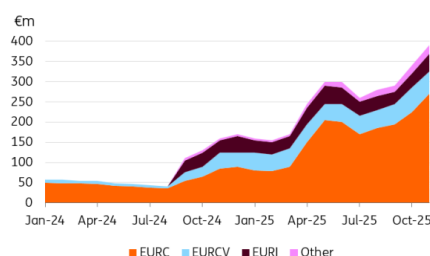


Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

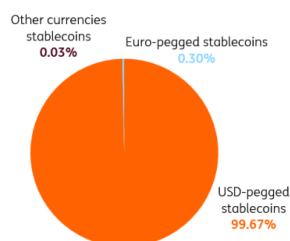
Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

Euro-pegged stablecoins remain at a nascent stage

Euro-pegged stablecoins' market capitalisation over time



Market capitalisation of stablecoins across currencies



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

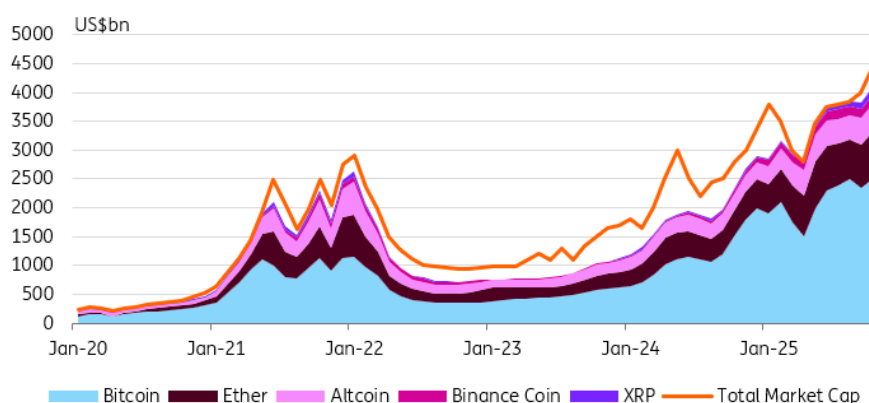
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between \$900bn and \$4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing).** The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

How do stablecoins differ from other digital & crypto currencies?

Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one-to-one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly \$4500bn at the end of 2025, about three times the level in early 2024.

Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

Tokenised assets

Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However,

tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece [*The digital euro is making progress, European banks should pay attention.*](#)

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.

Currencies comparison table

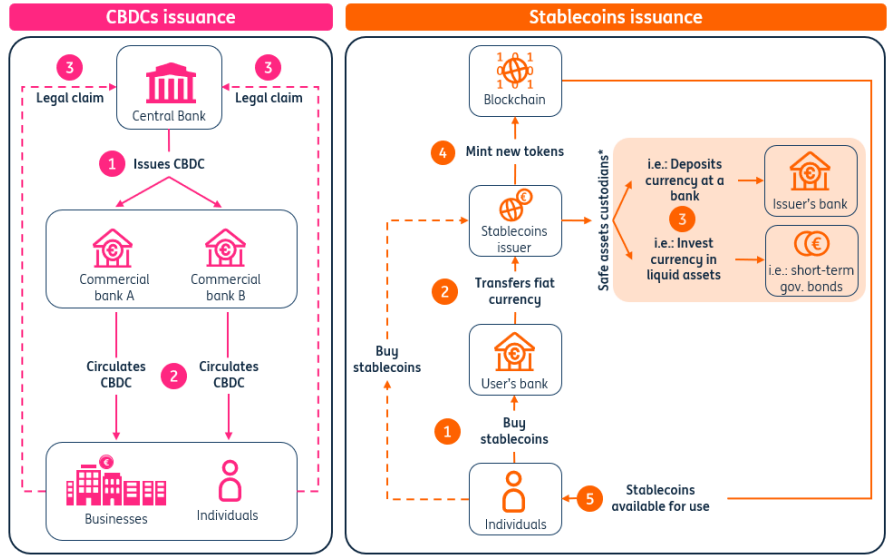
	Stablecoins	CBDCs	'Real' cryptos	Tokenised deposits	Bank deposits	Cash
Digital	✓	✓	✓	✓	✓	✗
Public	✗	✓	✗	✗	✗	✓
Blockchain use	✓	~	✓	✓	✗	✗
Programmable	✓	~	✓	✓	~	✗
Use without intermediaries	✓	~	✓	✗	✗	✓
Large price volatility	Limited by pegging mechanism	✗	✓	✗	✗	✗
Means of payment role	✓	✓	Not in the wider economy	✓	✓	✓
Unit of account role (used for invoicing)	✓	✓	Not in the wider economy	✓	✓	✓
Store of value role	Potential, especially if remuneration allowed	Not if implementation of holding limits	✗	Linked to real-world bank deposits	✓	✓
Regulation	Fragmented	National	Fragmented	✓	✓	✓

~ Possible ✗ No ✓ Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

CBDCs versus stablecoins issuance flow



Source: ING Research *examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital

euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

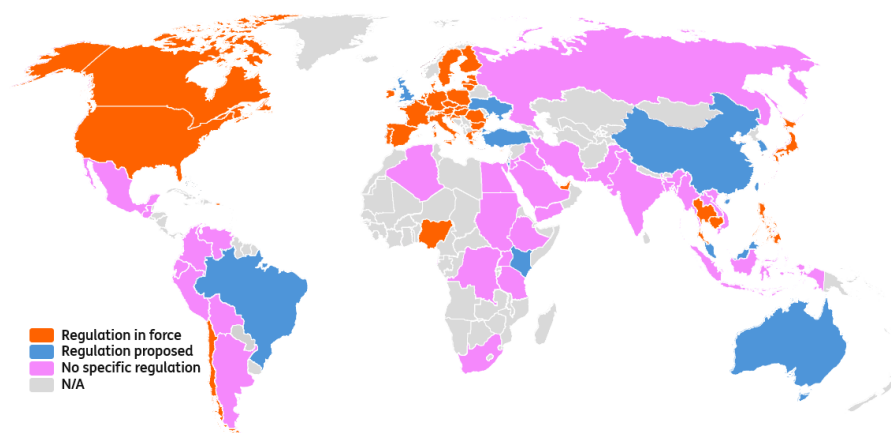
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

Large regulatory differences and crucial remuneration uncertainty

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non-remunerated central bank deposits. The remaining 70% could be invested in short-term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

Summary of the US, EU and UK stablecoins regulatory frameworks

		US ¹ Genius Act	EU MiCAR		UK ² Regulation	
			E-money institute	Credit institution	Non-systemic issuers	Systemic issuers
1.	Access to central bank, lender of last resort	Case-by-case Fed decision	Forbidden	No restrictions		Bank of England considering backstop facility
	Central Bank deposit	Case-by-case Fed decision	Forbidden	Allowed	Allowed	Required i) ≥30% of assets; ii) upremunerated
2.	Asset investment policy					
	Commercial bank deposit	Allowed upper limit to be specified	Required ≥60% of assets (≥30% if non-systemic)	Allowed	Allowed	Forbidden
	Government bonds	Allowed ≤3m maturity	Allowed <40% of assets (<70% if non-systemic)	Allowed	Allowed	Allowed <70% of assets
3.	Stablecoins remuneration	Forbidden for issuer only	Forbidden for issuer and crypto-asset service providers (CASP)	Forbidden for issuer and CASP	Forbidden for issuer	Forbidden for issuer
4.	Issuance guardrail	None	None	None	N/A	Temporary £40bn

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

...driving the key uncertainty on stablecoins' uptake

Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

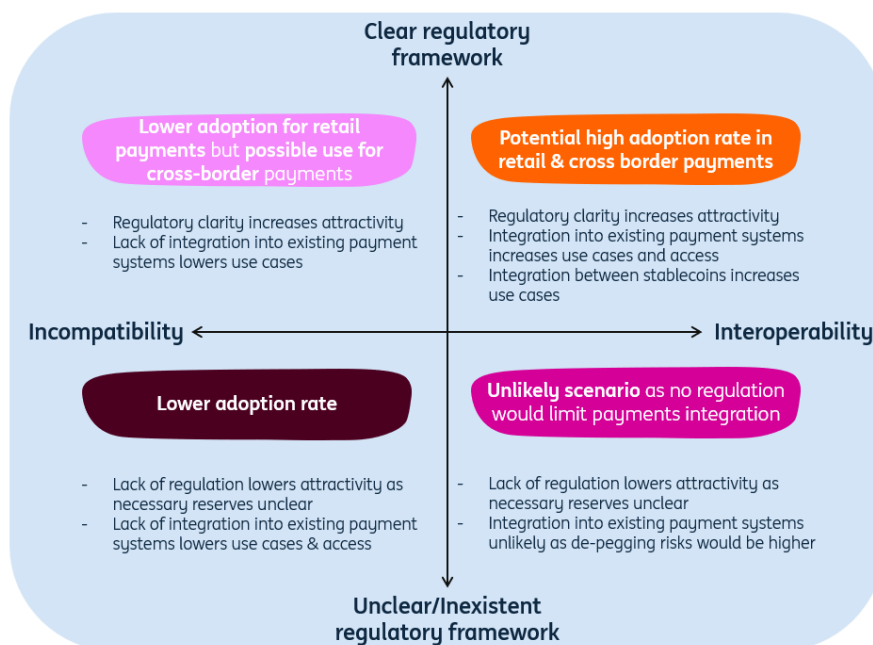
While stablecoins have grown significantly over the years, they are not currently "broadly

adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the

advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

Stablecoins are growing but the jury is still out on how big they'll get

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.

Regulatory footnotes

The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about \$10bn in 2Q25 (before the regulation) to over \$45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for “traditional” banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. **Issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued.**

Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories:**

- **Asset-Referenced Tokens (ARTs)**: stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens (EMTs)**: stablecoins pegged to a single fiat currency
- **Other crypto assets**: including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

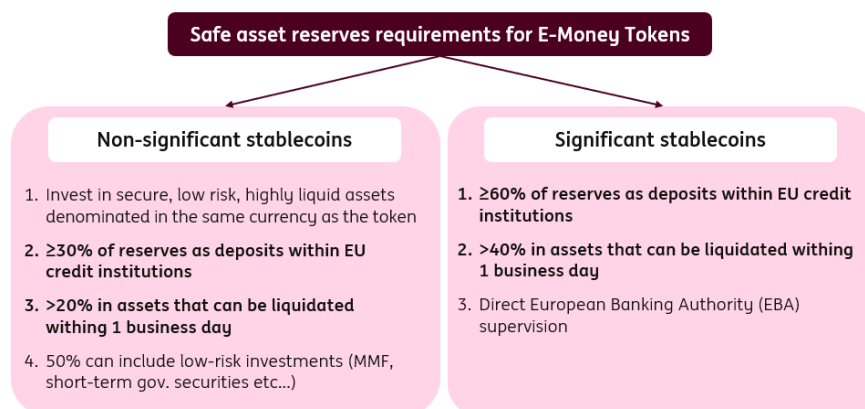
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets.

Stablecoins are considered significant when (but not only):

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn**, respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF

rules.

The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

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Article | 4 August 2026

GERMANY

Low water levels are new setback for the German economy

Record low water levels in the Rhine could shave 0.3 percentage points off Germany's GDP growth this year



A heatwave in Germany has pushed Rhine water levels to record lows

Some might know that I used to be, and still am, a passionate rower. Rowing on Frankfurt's Main River is not always a pleasure. High water levels and strong currents in winter, combined with commercial river traffic throughout the year, do not make it an ideal place to train. That is, except when water levels are low.

For rowers, low water levels mean calm currents, flat water and very little traffic. Against this backdrop, I have witnessed the effects of climate change during the 12 years I have lived in Frankfurt: fewer periods of high water in winter and longer stretches of flat water in summer. Unfortunately, what has been good for my favourite hobby has become a clear risk for the German economy: low water levels.

Why the Rhine matters for German industry

Yesterday, my colleague Rico Luman [wrote about the impact of low water levels](#) in the Rhine and the consequences for supply chains. For Germany, however, the Rhine is not simply one transport option among many. It is a piece of industrial infrastructure around which much of German industry was physically built.

Roughly 285 million tonnes of freight move along the river annually, making it Europe's most

important logistics corridor after the open seas. It carries about 80% of all goods transported on Germany's inland waterways, while some 600 vessels cross the Dutch-German border every day. The corridor connects Rotterdam directly to three of Germany's largest industrial clusters: Rhine-Ruhr steel, Rhine-Main and the Ludwigshafen chemical complex.

This is no coincidence. The plants were built along the Rhine in the nineteenth century to benefit from barge transport and access to process water, and they have remained there ever since. When the Rhine runs low, the impact extends far beyond supply chains; it strikes at the heart of German industry.

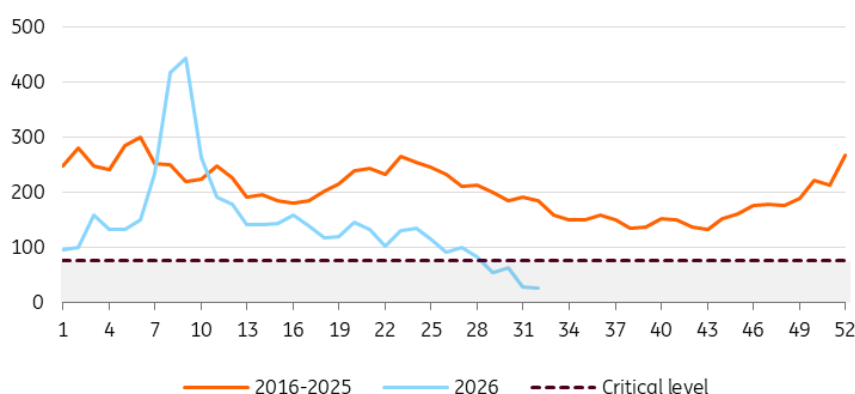
The Rhine's historic importance also means there are no real alternatives. Replacing a single barge can require up to 100 trucks or an entire freight train. And that's before taking into account Germany's well-known infrastructure challenges. Rail and road simply cannot provide a like-for-like substitute for Rhine transport. This is not to say that industry has not reacted to more frequent and longer periods of low water levels. Think of shallow-water barges and higher inventory levels.

Economic impact of low water levels

On Monday, the water level at Kaub fell to 24cm, the lowest level since records began in 1880. The last record low was 25cm in October 2018. This highlights how severe the current situation is. Normally, periods of low water occur between September and November, not in the middle of summer. Yet current forecasts for the next two weeks show little rainfall, suggesting that conditions are likely to worsen.

Water level in Kaub

(average per calendar week in cm)



Source: pegelonline.wsv.de

As the Rhine is home to crucial industries, the economic impact of supply chain constraints, and a potential reduction in production is much larger than the Rhine's c.6% share of total

German freight volume would suggest.

A 2020 Kiel Working Paper found that low water levels in the Rhine, particularly during the 2018 drought, affected the German economy through both transport and production channels. A full month of low water reduced inland shipping volumes by about a quarter, while industrial production fell by roughly 1%. Overall, the 2018 episode is estimated to have shaved around 0.3 percentage points off German GDP growth.

The risk is high that this time around, the economic impact will be larger. The low water levels at the start of August are unprecedented and fully out-of-sample when taking the Kiel paper as a proxy. Obviously, the economic impact now highly depends on the length of the current drought. A week of heavy rain could change the economic picture for the better immediately – even if this currently appears unlikely to happen. Unless the German government finds a reliable rainmaker, we should prepare to see a repetition of 2018 with a negative impact of at least 0.3 percentage points of GDP growth. This comes as a big setback given that the German economy has grown for three quarters in a row and was on track to reach annual GDP growth of some 0.8% this year. A blow to the recovery but not enough to ignite recession fears.

In any case, the negative economic impact will probably make my next outing less enjoyable. Or perhaps not. I may simply find myself humming R.E.M.'s *It's the End of the World as We Know It (And I Feel Fine)*.

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Article | 4 August 2026

TMT

Webinar: The AI race – who will fund and fuel the next wave?

AI is becoming one of the biggest investment, infrastructure and energy stories of our time. Join us to explore how the AI boom is being financed, what investors are watching, and whether power systems can keep pace with soaring demand. [Sign up here](#)



AI is no longer just a technology story. As investment and power needs surge, it has become a capital markets, infrastructure and energy story, too. The race to build AI capabilities is driving unprecedented spending on data centres, compute capacity and power infrastructure. This raises important questions for investors, policymakers and industry leaders.

In this webinar, we will explore how AI expansion is being financed, how investors are assessing the opportunity, and how energy systems can keep pace with growing demand.

You'll learn:

- Why accelerating data centre investment can remain sustainable
- What investors are watching across the largest technology companies
- How AI is reshaping capital markets and financing needs
- How data centres are transforming energy systems and local economies
- How power infrastructure can keep pace — and at what cost

[Click here to sign up](#)

Details

Date: Thursday 13 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 13 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil prices cool despite US-Iran deadlock

Oil prices are easing despite no breakthrough in US-Iran discussions. Meanwhile, the latest EU gas storage data shows that storage levels fell, adding to supply fears as we move closer to winter



Energy - EU gas storage drops

Oil prices edged lower through much of yesterday's session; Brent crude ended the day largely flat. There was little in the way of fresh developments between the US and Iran, with both sides remaining in a deadlock. Meanwhile, the latest large drone attack on Russia's Novorossiysk port appears to have spared oil infrastructure, with no reports of damage to oil terminals as of now.

The EIA's weekly report was fairly bearish, with US commercial crude oil inventories increasing by a significant 17.42m barrels over the last week. This is the largest weekly increase since January 2023. Total crude stocks actually rose by 11.31 million barrels once the 6.12 million barrels of SPR releases are included.

The large inventory increase was predominantly driven by the trade side, with crude oil imports increasing 1.14m b/d week-on-week, while crude exports fell by 627k b/d. Inventory changes for refined products were more modest, with gasoline and distillate stocks falling by

968k barrels and 10k barrels, respectively. While refiners reduced their utilisation rates by 0.3pp WoW, they remain at seasonally high levels of above 96%. Very healthy refinery margins will be pushing refiners to maximise run rates.

The International Energy Agency expects the global oil market to be in a 1.8m b/d deficit in 3Q26, which has grown since last month, given the renewed disruptions in the Middle East. While global oil supply grew by 2.4m b/d in July, it remains 6.3m b/d lower year-on-year, and full-year oil supply is now expected to fall by 4.3m b/d in 2026. Aggressive downward revisions were also made to demand. The IEA now expects global oil demand to fall by 1.6m b/d YoY in 2026 due to Persian Gulf disruptions and elevated fuel prices.

OPEC also released its latest monthly report yesterday. The group remains more upbeat when it comes to demand, expecting global demand to grow by 580k b/d YoY. This seems fairly optimistic given the price levels that we have seen refined products trading this year. Meanwhile, when it comes to OPEC supply, the group reportedly increased output by 1.69m b/d MoM to 19.85m b/d in July, with gains dominated by Iraq, Saudi Arabia, and Kuwait. However, the supply recovery is likely to have stalled in August amid renewed disruptions in the Strait of Hormuz.

European gas has firmed notably this week, with TTF pushing back above EUR€60/MWh, yet the lagged positioning data tells a different story. Investment funds trimmed their net long in TTF by 16.6TWh, bringing it down to 228.2TWh over the latest reporting week. Despite the pullback in net longs, concerns around Europe's gas storage trajectory continue to build as the region moves closer to the 2026/27 heating season, particularly with ongoing Persian Gulf LNG disruptions threatening to tighten supply further. The latest storage data from Gas Infrastructure Europe shows that EU storage fell by 0.01pp to 59.32%. While this is a very marginal decline, it still is not a great sign for Europe in the middle of the injection season.

Agriculture – Black Sea grain disruptions and WASDE

Grain prices rallied yesterday, with front-month CBOT wheat futures settling almost 3.6% higher on the day. This follows a large drone attack on Russia's Novorossiysk port. It led to the suspension of operations at three grain terminals at the port due to damage. These latest developments will only add to fears over Black Sea grain supply, with Ukraine and Russia increasingly targeting each other's ports and commercial vessels. The USDA's latest WASDE report only added further bullishness to grain prices. The agency lowered its U.S. corn yield outlook, lifting front-month CBOT corn futures more than 4–6% on the day.

Despite the USDA cutting its corn yield forecast for the 2026/27 US crop from 183bu/acre to 180.7bu/acre, it still revised its corn production estimate up slightly by 13m bushels to 16.01bn bushels amid upward revisions in acreage. If realised, this would still be the US' second-largest corn crop on record. US corn ending stocks for 2026/27 were still lowered by 137m bushels to 1,653m bushels, below market expectations. Looking at the global corn balance, the USDA

revised its production and demand estimates to 1,298.9mt (vs. 1,297.1mt) and 1,323.1mt (vs. 1,320.5mt), respectively. Stronger demand estimates saw global ending stock cut to 274.7mt from 275.3mt.

The USDA raised 2026/27 US soybean production estimates from 4,475m bushels to 4,519m bushels, reflecting an increase in planted area from 84.4m acres to 85.8m acres. This led to ending stock estimates being revised up by 10m bushels to 320m bushel. Meanwhile, global soybean ending stock estimates for 2026/27 were left unchanged at 124.2mt.

Finally, US wheat production estimates were cut by 5m bushels due to a slight downward revision in yields. Ending stock estimates were reduced from 722m bushels to 717m bushels. For the global balance, ending stock estimates were revised higher from 272.8mt to 273.3mt primarily due to higher beginning stocks. The agency cut its wheat export estimates for Russia and Ukraine given the escalation seen in the Black Sea, which is disrupting grain exports.

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Article | 12 August 2026

RATES SPARK

Rates Spark: Inflation is and isn't the issue

US consumer price inflation came in tame, yet bond yields end up where they were, or higher. The culprit? Higher real yields. The US fiscal deficit for July subsequently came in high, adding to the pressure. There's a degree of comfort here at elevated yields, and it's not really all about inflation. That said, the meandering war backdrop is of no help



The fiscal deficit for July came in on the high. The fiscal deficit for fiscal 2026 is running higher than fiscal 2025

US CPI was good (as expected), while the fiscal deficit was bad (also as [we] expected)

There was no big market reaction to the [benign CPI report for July](#). Market break-evens have been discounting a benign inflation story for some time now, with break-evens comfortably below the 2.5% printed for core inflation. Still, it was a good number, and better for the front end than the back end on the theory that it takes pressure off the rate hike narrative. That said, higher real yields were the chief underpinning on the day, and that's in fact been thematic over the past number of months. The thing is, real yields today are not *high*. They are normal. Back to where they were pre-GFC. Which suggests they can remain elevated.

The US fiscal deficit for July came in at USD432bn – high! The cumulative fiscal deficit is now

running at USD1.8tr. That's some USD170bn higher vs 2025. It's now homing in on coming in some USD200bn higher than for fiscal year 2025. Not a number that bonds typically get excited by, as for bonds, it's really all about the issuance number and profile. But this does place upside to issuance pressure ahead, which should add some credit pressure to the determination of long-end rates. The deficit had been shielded by tariff income. Tariff refunds are part of the issue. But the underlying picture is tending to turn net sour also.

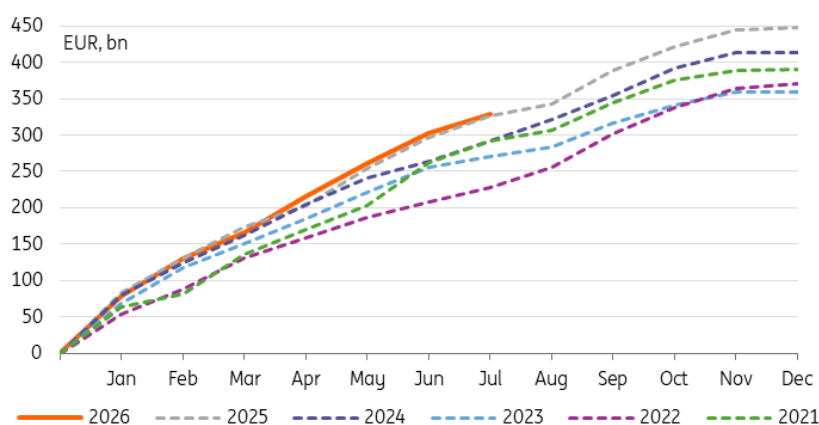
The overall prognosis here is for the 10yr Treasury yield to trend towards the 4.75% to 5% area. Going above is not an option that Treasury Secretary Bessent would accept. But getting close is the trade.

Count down to the reopening of the SSA primary market

The public sector EUR primary market is currently still in its summer break. Although we are seeing some issuers on the government side maintain their activity, others, like Italy or Spain, have cancelled upcoming bond auctions for August.

In the broader EUR-denominated Sovereign, Supranational and Agency (SSA) space, the last benchmark deal dates back to early July, and there has been a drought since mid-July. Last year, it was the German issuers, one Lander issuer followed by KfW, who were first to come out after the summer break around this time of the year – i.e. mid-August. We have now seen IBB (Investitions Bank Berlin) mandate a bank for a €0.5bn social bond tap, but a first EUR SSA benchmark deal should come soon after, with next week likely to see the primary market reopening in full swing. That said, many issuers are entering the second half of the yearly issuance cycle with their funding progress already well advanced.

EUR SSA issuance progress compared to previous years



Source: BondRadar, ING

Thursday's events and market view

After a benign CPI reading largely in line with market expectations, the attention turns to producer prices, where slightly hotter monthly increases are anticipated. The year-on-year rate is still expected to slip below 5%. With an eye on the labour market, the jobless claims numbers will be followed closely, with the weekly initial claims at already low levels. Two Fed speakers are lined up with Hammack and Barkin.

Out of Europe, we will get the UK's monthly GDP numbers as well as industrial production data for June. We will also see the eurozone's industrial production data for June.

With Italy's auctions for Thursday cancelled, bond supply will only come from the US with the sale of a new 30y bond (US\$25bn).

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Article | 12 August 2026

FX

FX Daily: Dollar bears chase totality

Dollar bears will be hoping that today's US July CPI release is soft enough to banish expectations of a September rate hike from the Fed. If so, that would unlock a benign drop in the dollar and keep risk assets broadly supported



↓ USD: Dollar bears are hoping CPI will deliver

Friday's soft US jobs data did not weigh heavily on the dollar. The prevailing view here is that inflation trends will primarily drive the next Fed move. These are on show today in the form of the US July CPI release. Here, consensus is looking for a reasonably subdued set of numbers: 0.1% month-on-month for headline and 0.2% for core. These would see the year-on-year rates drop to 3.4% and 2.5% respectively – inching closer to the Fed's 2% inflation target. Driving the softer numbers are expected to be lower gasoline prices, broadening signs of rental deflation and soft wages.

Given the market looks to be expecting a softer price story today, we would probably need to see a 0.1% month-on-month read on core inflation – which some think is possible. A soft number should drag market pricing of a September Fed rate hike away from a 50% probability in favour of no change. And a bullish steepening of the yield curve should see the dollar soften – particularly against the procyclical currencies. On the US yield curve, our rates strategy team [warns that the long end could also see some pressure](#) from the fiscal side as the US budget deficit deteriorates on tariff rebates.

The above should be positive for the risk environment. Additionally, talk is emerging that President Trump could be trying to launch a cut in the Capital Gains Tax ahead of the midterms in early November. That would prove a mild dollar negative from a pro-risk perspective, but again we should monitor how the long-end of the Treasury curve would take more unfunded tax cuts and also whether this could tip the Fed over the edge into tightening.

For today, let's see whether a soft CPI print can break DXY to the downside from its 99.40-100.00 trading range.

Chris Turner

↑ **EUR: High energy the problem**

EUR/USD continues to trade in a lacklustre fashion. Better hard activity data and eurozone economic numbers generally surprising on the upside have failed to provide the euro with much of a lift. That may be owed to unresolved tension in the Gulf, which is keeping European natural gas prices above €60/MWh. In terms of geopolitics, there is very little clarity here, although the latest reports suggest Pakistan and Oman are managing to bring the US and Iran a little closer together.

If the US CPI number does indeed come in on the soft side, EUR/USD should be able to challenge last week's high at 1.1580. That is about the extent of a move priced into one-day straddle options. Much more of a move may be too much to ask in quiet summer markets, given we will also see another round of CPI and jobs data – plus the Jackson Hole Fed symposium – before the Fed decides on policy mid-September.

Chris Turner

↑ **CEE: Geopolitics keeps rates under pressure**

In Romania, July inflation released this morning showed the first signs of easing, with headline inflation falling from 10.4% to 8.2% YoY, the lowest level since mid-2025. However, the drop mainly reflects base effects, while month-on-month momentum shows no clear slowdown. We expect inflation to keep declining, but the National Bank of Romania is unlikely to cut rates before early 2027.

Elsewhere in the region, today's calendar is quiet, leaving core markets and geopolitics in focus. Rates sold off sharply at yesterday's open, led by the Czech market, before signs of US-Iran negotiations brought some relief. Even so, pricing remains hawkish, with almost three rate hikes priced in for the Czech Republic and two for Poland.

While this is not the first sell-off triggered by the US-Iran escalation, CEE rates are underperforming core markets more visibly this time. We think the market has moved too far in pricing tightening, but higher rates should offer some FX protection and support a return to

more stable currencies, as seen at the start of the conflict. We expect some recovery in the koruna and zloty, which saw the sharpest rate moves yesterday, while the forint is likely to remain under pressure from local energy supply concerns.

Frantisek Taborsky

➔ **BRL: Politics finally lands**

In an otherwise supportive market for FX carry trades, the Brazilian real was a notable underperformer yesterday. Driving that was both a sell-side bank downgrading Brazilian equities to neutral from overweight, and a new poll result ahead of Brazilian presidential elections in early October. This showed incumbent President Lula opening up a 9% lead over his rival, Flavio Bolsonaro.

This seems the first day that politics has really started to hit the real this year. We would not chase the real lower, however. 13.4% implied yields through the one-month non-deliverable forwards and Brazil's position as a net energy exporter should keep the currency reasonably in demand. Positioning is probably quite crowded long the real now, but we suspect it would require a broadly stronger dollar, rather than local news, to send USD/BRL through 5.22.

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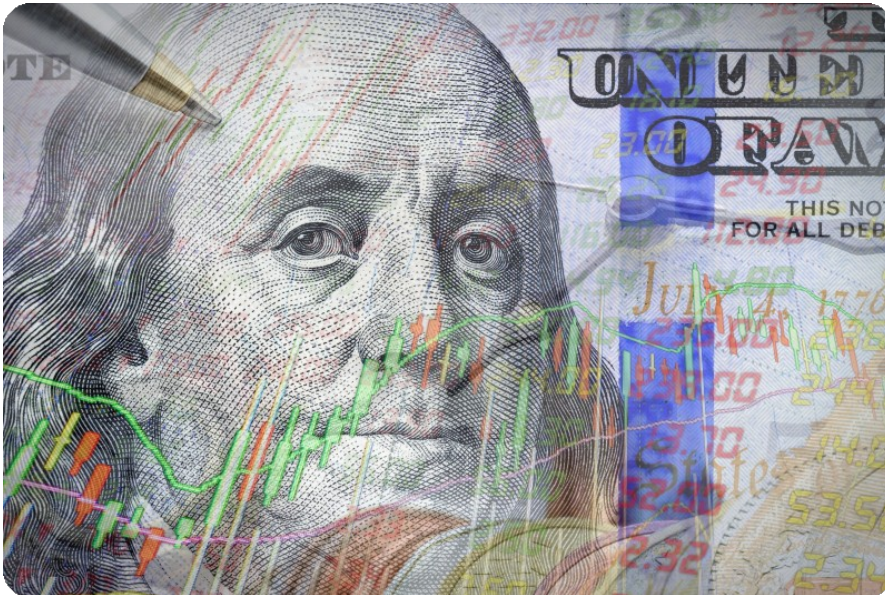
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Article | 11 August 2026

RATES SPARK

Rates Spark: The fiscal number can eclipse CPI

While the transition to higher US yields is linked with the war and higher energy prices, in fact the market discount for inflation is quite relaxed. The July reading is expected to see core at 2.5% YoY. Break-evens are already below this, paving an auspicious path ahead. The fiscal deficit, though, has been morphing in a more bond negative direction



The US CPI number for July will get the headlines, but more focus should be placed on the fiscal deficit deterioration

US CPI inflation is crucial, but the market is already quite relaxed on it

We get updates on the two most important fundamental drivers of US Treasuries on Wednesday, namely US inflation and the fiscal deficit. The former impacts the real return attainable from bonds, while the latter helps determine the supply of bonds. Arguably, nothing else should matter, and if they do, it's only to the extent that they ultimately impact inflation and the supply of bonds.

Recently, the bigger attention has been more on the former than the latter, as upward pressure on energy prices in addition to prior tariff price hikes saw inflation print

uncomfortably high. To the extent that these impulses have maxed out, there is a path ahead for easing in inflation as we progress through the remainder of 2026. That stems from the crucial assumption that the oil price remains contained, through an ultimate reopening of the Strait of Hormuz (in the coming weeks).

The core number anticipated for July at 2.5% year-on-year is absolutely fine, and should act as a rate that headline inflation (now at 3.5%) should trek towards as we progress through 2026. Better still, market break-even inflation rates are running at comfortably below 2.5% (actually in the 2.25% area).

In fact, the market is already discounting a mild inflation landing. It's the higher real rate component that's driven the 10yr Treasury yield higher in recent months, not inflation break-evens.

Treasuries have not been worrying much on the deficit, but should start to pay more attention

It's also true that the recent rise in the 10yr Treasury yield has not come from a deterioration in credit perception, in the sense that it's not directly linked with any delta in the deficit. We note that, as the 10yr swap spread has managed to hold broadly steady in the 40bp area since May. That 40bp spread is, in effect, the additional rate that Treasury Secretary Bessent needs to pay over and above the risk-free-rate (SOFR), as compensation for the elevation in the fiscal deficit (6% of GDP area).

Why has it been steady? Well, the good news is the US fiscal numbers have not deteriorated since fiscal year 2024. The deficit for fiscal year 2025 was in fact a tad lower in cash terms. And the running number for 2026 *had* been running steady to slightly below 2025 on account of the extra cash coming in from the tariff revenues.

However, the \$75bn tariff refund paid through May and June flipped the numbers, resulting in the 2026 fiscal deficit running above 2025. Even though there has been a tariff reset / replacement, the 2026 deficit is set to run at some \$200bn above the 2025 deficit. Hence, we're shaping up for a \$2.1tr deficit for fiscal year 2026. The July number will likely confirm the deterioration, coming in at around the \$400bn area compared with \$291bn for the same month in 2025.

If so, we risk seeing a deterioration in the credit story for Treasuries, resulting in some re-widening of the 10yr swap spread. An edge back up towards the 50bp area on a multi-month view is an entirely foreseeable outcome.

Wednesday's events and market view

Geopolitics have been the main driver of rates given an absence of noteworthy data releases at the start of the week. On Wednesday, the US CPI should now provide rates with more direction. While rates have pushed higher of late, the consensus forecast is actually looking for an overall benign inflation reading with an 0.1% month-on-month increase in the headline CPI and a 0.2% in the core CPI. This would help the yearly inflation rates to trend lower to 3.4% and 2.5%, respectively. Other releases for the day are the MBA mortgage application numbers as well as the Federal budget balance for July.

In the primary market space, Germany will reopen 12y and 27y Bunds for a total of €2.5bn. The UK sells £1.5bn in 9ly gilt linkers while the US Treasury will auction US\$42bn in new 10y notes.

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Article | 11 August 2026

FX

FX Daily: Low volatility prevails

Volatility in FX markets continues to sink as investors seem quite comfortable with the prospect of the Fed holding or tightening the policy rate in September. Expect FX carry trades to remain in demand for the time being, but eyes to stay keenly on the bond market. Here, the issue is whether investors can absorb a lot of new supply from the tech sector



The RBA left rates unchanged at 4.35% today, with Governor Michele Bullock delivering a hawkish message

➔ USD: Realised volatility sinks

Perhaps unsurprisingly, realised FX volatility is sinking in mid-August. The main risk event on the horizon is the Fed's policy meeting on 16 September, where the market prices exactly a 50% chance of a 25bp hike. Whether the Fed hikes or not will be determined by [a few data points](#) ahead of that meeting. However, it looks like investors are not going to be unnerved by that meeting and will, instead, be comfortable picking up carry from high-yielding FX. In G10, the Norwegian krone has delivered the strongest total returns this quarter, while in emerging markets, three Latin American currencies rank among the top four performers.

Should tomorrow's US July CPI release nudge market pricing towards or against a September Fed hike, we doubt it would have much impact on the carry trade.

The one wrinkle on the horizon is the bond market. Longer-dated US Treasury yields are at the

top of recent ranges and the tech industry is planning a lot more issuance. Nvidia announced yesterday it would partner with six investment houses to arrange \$500bn of debt financing for its customers. Buy now, pay later. A sell-off in the bond market probably remains one of the key threats to a benign environment over the coming months.

For today, the US data focus is on July existing home sales and the weekly ADP release. For the latter, the four-week moving average has dropped to +18k from a peak near +38k in April. Any downside surprise here could briefly hit the dollar following Friday's [soft July payrolls release](#).

DXY looks set to continue trading in a 99.50-100.00 range into tomorrow's CPI release.

Chris Turner

➔ **EUR: Gone fishing**

EUR/USD realised volatility continues to sink and one-year is now at 5.8% – matching the low from November 2024. As above, it is hard to see that environment changing anytime soon – or at least until mid-September when central bankers around the world return from their summer breaks.

We published an article yesterday looking at the [dollar hedge ratios](#) of European investors. The risk here is that European investors in the US are once again underhedged and have to quickly raise their dollar hedge ratios should the dollar look vulnerable again. That probably looks more a function of the November midterms than Fed decisions.

It is hard to see EUR/USD trading much outside a 1.1515-1.1560 range today.

Chris Turner

➔ **AUD: RBA holds onto hawkish bias**

The Reserve Bank of Australia left rates unchanged at 4.35% today. Some argue that the added description of the policy as 'somewhat restrictive' means that the RBA is less likely to hike in future. However, Governor Sandra Bullock proved quite hawkish at the press conference, reminding the audience that the RBA sees inflation risks as skewed to the upside and admitting that the RBA did discuss the possibility of a rate hike at today's meeting. This prompted short-dated Australian yields to do a U-turn.

Our team does not see a further RBA rate hike this year, but from an FX perspective, we still see AUD/USD heading up to [0.73 by year-end](#).

Chris Turner

📈 CZK: Inflation details in focus as hike pricing supports koruna

The Czech Republic publishes the final July inflation estimate today, likely confirming the flash reading of 1.7%. The key focus will be the detailed breakdown, especially components watched closely by the Czech National Bank. Core inflation likely stayed at 2.8%, with a risk of 2.9%. The CNB will also look at what drove service price inflation up to 4.7% in July and whether imputed rents continue to show signs of slowing. Last week's CNB meeting, however, suggested the board is comfortable with the current level of monetary tightening, leaving a high bar for another hike.

We had expected the market to price out more tightening after the CNB meeting, but global market pressure has taken over and again pushed CEE pricing toward additional hikes. The Czech market still leads EMEA, with two hikes priced in, reflecting the view that the CNB is most sensitive to renewed energy price pressure after its June hike. We do not expect those hikes to be delivered, but the pricing offers some support for FX. Having been bullish on EUR/CZK before and after the last CNB meeting, we now see the pair peaking around current levels, slightly above 24.250, with scope for some relief below that today.

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